GMS WEEKLY

Your Source for Recycling News

February 17th, 2023
Volume 247, Issue 1070
Week 7

Highlights:

- **Sales add up.**
- **Bangla ways.**
- **Demand builds.**
- **India in hunt.**
- **Firing on.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"Nobody built like you, you design yourself."

– Jay-Z

MARKET COMMENTARY

BACK IN BIZ?

This week, several more sales have registered as sub-continent ship recycling markets come roaring back – and a previously subdued Bangladesh starts to seemingly find some form once again, with some workable L/Cs from privately financed (rather than state controlled) banks.

Despite the ongoing discussions about an IMF loan in the amount of about USD 2 - 3 billion, end buyers have been working to find alternate ways to pay for vessels for some time now and without the troublesome central bank approval, which is denying the disbursements of U.S. Dollars for everything but essential items.

Demand has seems hotter in both Pakistan and Bangladesh this week, where they have been unable to import vessels for most of this year and it is good to see several deals being concluded off late, and at firming numbers to match.

India remains on the hunt for tonnage but has failed to keep up with a resurgent Bangladesh this week and will have to raise their respective game up once again, just to keep in contention to secure any available vessels.

Finally, Turkey records a small drop in import steel prices whilst levels for ships hold firm for the past month now and still no news of any market fixtures coming forth.

As the industry heads into March, the supply of tonnage has started to increase as dry (particularly Capesize bulker) rates suffer, and containers likewise show few signs of picking up just yet.

As such, after a year of reduced supply and tumbling prices, we can finally see the recycling markets starting to resume fire again, and we should expect further impressive sales and pricing in the weeks ahead.

For week 7 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Positive	570 / LDT	580 / LDT	600 / LDT
2	India	Positive	550 / LDT*	560 / LDT*	580 / LDT*
3	Pakistan	Weak	525 / LDT*	535 / LDT*	545 / LDT*
4	Turkey	Steady	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

RESURGENT!

Highest for a year.

Having secured some hugely priced sales – not seen since this time last year, Bangladesh has enjoyed a stunning resurgence to finish atop of the price rankings this week!

The most notable sale of the week concerned that of the Sinokor controlled container XIUMEI SHANGHAI (7,276 LDT), which was fixed for an astonishing USD 640/LT LDT. Despite having a decent sized propeller, bow thruster, and about 300 Tons of bunkers included in the sale – this fixture still appears to be one well above the market and it will be interesting to see how the resale progresses!

Stunning sales.

The Panamax bulker VADI (10,085 LDT) was also finalised from Turkish owners for a decent USD 575/LDT – with about 300 Tons bunkers and a spare propeller contributing to the firmer price on show.

On the fundamentals front, despite a firming demand and local fixtures, fundamentals have in fact traded in the opposite direction (i.e., deflated) this week as the Bangladeshi Taka drops towards BDT 106 against the U.S. Dollar. Even local steel plate prices dropped a healthy USD 41/Ton, as an increasing number of vessels arrives the waterfront over the last couple of weeks.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
VADI	Bulker	10,085	USD 575/LT LDT (with 300 Ts bunkers and spare propeller)
XIUMEI SHANGHAI	Container	7,276	USD 640/LT LDT (with 300 Ts bunkers)

INDIA

PICKING UP!

As the second placed sub-continent market, India continues to pick up tonnage by virtue of workable L/Cs and a more reliable performance from local Recyclers, along with an increased flow of vessels that are headed for HKC green recycling.

Second placed.

Such was the case again this week, as the LNG carrier SEAPEK ARCTIC (23,667 LDT), was concluded for a massive USD 15 million basis an 'as is' Malaysia sale and for select yards & for strictly HKC recycling only.

Another container was also committed this week as the OEL SHRAVAN (7,281 LDT) fetched a decent USD 587/LT LDT basis an 'as is' Colombo, in the second sale from these owners this year.

Deals done.

Meanwhile, domestic fundamentals continue to support the local mindset as the Rupee continues to bobble around the mid Rs. 82s against the U.S. Dollar, while Indian steel plate prices firmed up another USD 10/Ton this week, keeping Bangladeshi Buyers on their toes for prospective competitive units.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
OEL SHRAVAN	Container	7,281	USD 587/LT LDT ('as is' Colombo)
SEAPEAK ARCTIC	LNG	23,667	USD 15 million ('as is' Malaysia)

PAKISTAN

LOOKING ON!

Envious.

Pakistan has only been able to look on enviously as competing markets have surged past and been able to acquire some decent tonnage at firming rates this week.

The main problem in Pakistan has been unworkable L/Cs and a lack of state / government bank approvals for end buyers to open fresh L/Cs and import vessels for recycling.

Lacking LC approval.

Adding to the state of affairs has been a steel plate price that has been unchanged this week (likely due to the utter absence of tonnage at the waterfront), in addition to a Pakistani Rupee, though marginally firmer since last week, is sitting disheveled at nearly PKR 264 – not a particularly pleasant state for domestic fundamentals.

Finally, even deals that had been previously concluded into Gadani have since failed to deliver as L/C opening banks have rejected fresh L/Cs due to the severe shortage of U.S. Dollars in the country, and as such it has been another bleak and miserable week for Pakistani ship recycling.

NO MARKET SALES REPORTED

TURKEY

SILENT WEEK!

After the devastating earthquake in Turkey and Syria that has reportedly resulted in the untimely passing of over 20,000 souls, it was a relatively quiet week in Aliaga with not much activity being reported.

Fundamentals drop.

Steel plate prices did drop by about USD 10/Ton this week (likely on the back of diminished business dealings) as the Turkish Lira continues to buoy around a slightly weaker TRY 18.8X against the U.S. Dollar.

With not much dry tonnage being a candidate for Aliaga based recycling and sub-continent levels that are still twice as much as those from Turkey, it seems private blue-chip tonnage are the only units that seem likely to be Turkish candidates (if at all), for some time.

Blue-chip tonnage.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *The oldest-known living land animal is a tortoise named Jonathan, who is about to turn 190 years old. He was born in 1832 and has lived on the island of St. Helena in the Atlantic Ocean since 1882.*
- *Bats are the only mammal that can actually fly.*
- *Wombats are the only animal whose poop is cube-shaped. This is due to how its intestines form the feces. The animals then stack the cubes to mark their territory.*
- *The most common wild bird in the world isn't the sparrow or blue jay—it's the red-billed quelea, which live in Africa and have an estimated population of 1.5 billion.*
- *The heart of the blue whale, the largest animal on earth, is five feet long and weighs 400 pounds. The whale in total weighs 40,000 pounds.*
- *Some sea cucumbers fight with their guts (literally). When threatened, they'll shoot out their internal organs, which are poisonous to predators. They'll sometimes get rid of their entire digestive systems—but the organs grow back.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in February March 08 - Holi March 30 – Ram Navami	February 18 – February 25 March 07 – March 13 March 19 – Mar h 26

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
February 21 – Shaheed Day March 08 – Shab-e-Barat March 17 – Birth of the Father of the Nation March 26 – Independence and National Day	February 21 – February 24 March 09 – March 12 March 21 – March 24

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in February & March	March 08 – Holi March 23 – Pakistan Day	**No Holidays in February & March**

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ALANG - Port Position as of February 17, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Dmitriy Paschenko (Under Tow)*	*3,817*	*Fishing Vessel*	*Beached February 17*
2	Evgeniy Zotov	734	Reefer	Arrived January 18
3	Gas Spirit 1	20,807	LPG	Arrived February 08
4	*Lian*	*9,534*	*Bulk Carrier*	*Beached February 09*
5	Long	5,701	Fishing Vessel	Arrived February 14
6	MSC Floriana	8,800	Fishing Vessel	Arrived February 14
7	*Nauta*	*2,867*	*Reefer*	*Beached February 13*
8	Wan Chai 5	6,998	Container	Arrived February 18
Total Tonnage		**59,258**		

CHATTOGRAM - Port Position as of February 17, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	Bali	9,796	Container	Arrived February 17
3	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
4	Hang Jun 12	1,825	Hopper Dredger	Arrived February 12
5	Konpira 2	3,489	RoRo	Arrived February 07
6	*O Star*	*6,407*	*Bulk Carrier*	*Beached February 12*
7	Rio Balsas	17,029	Bulk Carrier	Arrived February 16
8	*Rose*	*1,959*	*Chemical Tanker*	*Beached February 11*
9	Sea Win	7,488	Bulk Carrier	Arrived February 14
10	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
11	*Xin*	*7,839*	*Bulk Carrier*	*Beached February 11*
Total Tonnage		**89,364**		

GADANI - Port Position as of February 17, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
	No new vessels reported.			
Total Tonnage		**-**		

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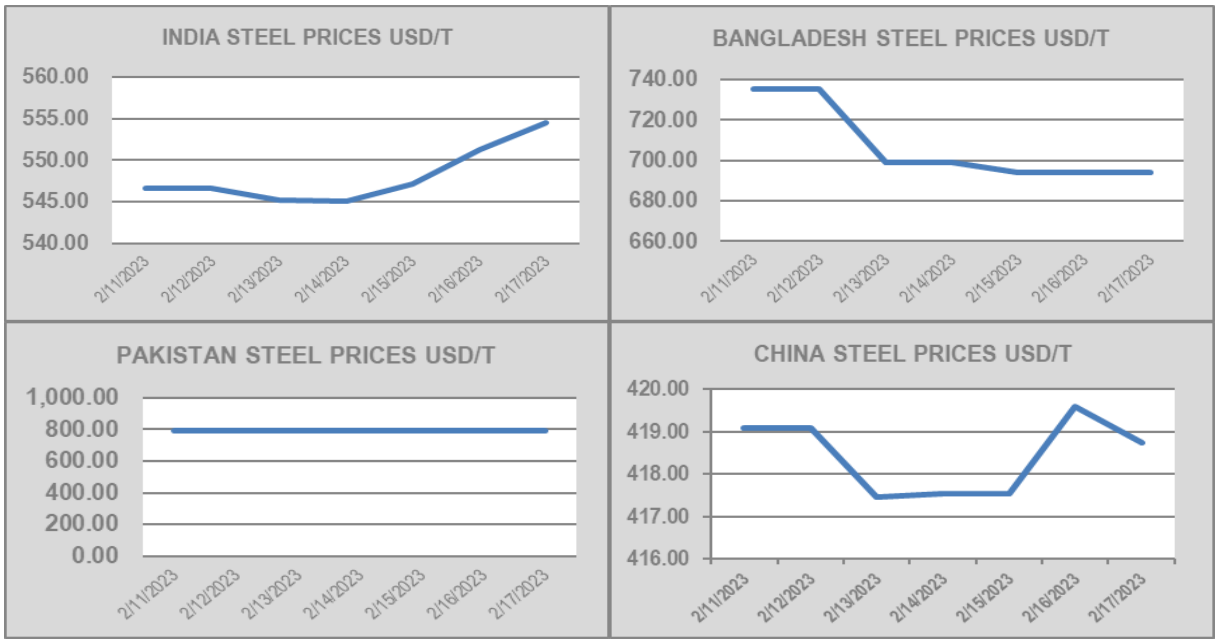
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/11/2023	546.67	45,100.00	792.73	218,000.00	735.29	75,000.00	419.10
2/12/2023	546.67	45,100.00	792.73	218,000.00	735.29	75,000.00	419.10
2/13/2023	545.21	45,100.00	792.73	218,000.00	699.03	72,000.00	417.46
2/14/2023	545.02	45,100.00	792.73	218,000.00	699.03	72,000.00	417.55
2/15/2023	547.10	45,300.00	792.73	218,000.00	694.17	71,500.00	417.55
2/16/2023	551.26	45,600.00	792.73	218,000.00	694.17	71,500.00	419.59
2/17/2023	554.55	45,900.00	792.73	218,000.00	694.17	71,500.00	418.74



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